

Assignment 2 :

Ambazador Hotel Group

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I. Executive Summary

Ambazador Hotel Group is facing a significant HR crisis that is now threatening service quality, employee stability, and readiness for expansion. The group operates 10 four-star hotels across France, Germany, and the UK, with around 2,300 employees, but is experiencing high turnover, low motivation, weak integration of foreign staff, no formal training process, limited career opportunities, and a deteriorating employer reputation. These weaknesses are especially damaging in a premium hospitality business where service consistency is central to brand value. The recent resignation of the Group HR Director and the limits of a fully centralised HR structure have further reduced the group's ability to respond effectively.

This report recommends a 6–12 month HR turnaround plan based on six priorities: redesigning the HR model, stabilising critical staffing, formalising onboarding and training, developing career pathways, improving integration of international employees, and rebuilding employer attractiveness. The proposed approach combines strategic coordination at headquarters with stronger local HR support in the hotels. If implemented successfully, these actions should reduce turnover, improve employee engagement, restore service standards, and create a more reliable workforce platform before expansion into Belgium, the Netherlands, and Switzerland.

II. Identification and Analysis of Weaknesses

Ambazador's HR problems are not isolated operational issues. They reflect a broader misalignment between the group's premium service positioning and the way its workforce is managed. A four-star hotel group promising "ambazador" treatment depends on skilled and engaged employees. However, the current HR system does not support that promise, which explains why service quality has declined, and market share has started to fall.

The first weakness is the over-centralised and under-resourced HR structure. HR is managed centrally from Paris for 10 hotels located in three different countries, despite major differences in labour market conditions, operational realities and employee expectations. This problem has become even more serious since the resignation of the Group HR Director one month ago. As a result, HR appears reactive rather than strategic, with insufficient local support for recruitment, employee relations, onboarding and retention. A centralised model can create consistency, but in Ambazador's case, it has reduced responsiveness and left hotel-level managers without enough support.

The second major weakness is high turnover and low employee motivation, particularly in housekeeping and the front office. These are critical departments because they shape guest impressions, cleanliness, responsiveness and complaint handling. High turnover in those roles creates constant recruitment pressure, increases operational instability, weakens team cohesion and reduces service consistency. This creates a vicious cycle as understaffing leads to exhaustion and then provides lower-quality service to guests. As guest complaints increase, the work environment becomes more stressful, leading to even more resignations. In premium hospitality, where service relies on emotion, this turnover is a direct threat to the

brand's ability to justify its higher prices. In hospitality, poor employee experience can become poor customer experience. The fact that employees are described as demotivated suggests that they do not feel sufficiently supported, recognised, or able to build a future within the company.

A third weakness is the absence of formal onboarding and training. Employees mainly learn on the job, which is unsuitable for a premium hotel group that relies on consistent service standards. Informal learning creates variability in performance, slows integration, increases stress for new employees and encourages the transmission of poor habits. It also makes the customer experience dependent on who happened to train whom, rather than on a clear company standard. This is especially risky in an international group where service quality should be consistent across all hotels.

A fourth weakness is the lack of career development and talent management. The case specifies that there is little possibility of evolution and no policy for the most talented staff. This discourages long-term commitment and makes Ambazador vulnerable to strong performers quitting. Without visible career pathways, internal mobility or succession planning, employees have little reason to stay, and the company is unable to promote future supervisors and managers internally. In a service business, retention of experienced talent is essential because service quality improves when employees know the brand, the standards and the customer expectations well. Employee longevity is particularly valuable in this industry.

A fifth weakness concerns the poor integration of foreign staff. Ambazador often recruits international employees, but many struggle to integrate, feel excluded and then leave. In principle, international recruitment should be a strength because it broadens the labour pool and reflects the diversity of hospitality workforces. In practice, however, a lack of language support, social integration and inclusive management appears to be turning diversity into a retention problem. This weakens collaboration inside teams and increases repeated hiring costs.

Finally, Ambazador suffers from a damaged employer brand, making it harder to attract new employees. This is both an HR issue and a strategic business risk. The company is already losing market share due to a decline in service quality, and it also plans to expand into Belgium, the Netherlands and Switzerland. If Ambazador cannot attract and retain staff in its current hotels, expansion will only reproduce the same problems in new markets. In other words, the group's growth ambitions are currently ahead of its HR readiness.

III. Recommendations

3.1 Redesign the HR model into a hybrid structure

Ambazador should replace its fully centralised HR model with a hybrid structure. Strategic HR policy should remain coordinated at the group level, but operational HR support should be strengthened locally through regional HR managers or hotel-based HR business partners. Group HR should retain responsibility for workforce planning, compensation policy, leadership development, employer branding

and common training standards. Local HR should manage recruitment support, onboarding, employee relations, retention tracking and implementation of group policies.

This recommendation directly addresses weak HR leadership, low responsiveness and the complexity of managing hotels across different countries. It is also realistic, since the new owners have stated they are willing to review the centralised approach if necessary. The priority should therefore be to appoint a new Group HR Director and, at the same time, introduce a stronger HR presence closer to operations.

3.2 Launch a critical-role retention plan

Ambazador should immediately introduce a retention plan focused on housekeeping and front office, where turnover appears most damaging. This should combine targeted salary corrections, retention bonuses after 6 and 12 months, more predictable scheduling, and recognition mechanisms for reliability and service quality. Salary increases should not be spread equally across the whole workforce; they should be prioritised for roles where turnover is highest, and replacement is most disruptive.

This recommendation is justified by the owners' willingness to increase wages by up to 10% of payroll costs if necessary to identify and retain reliable employees. However, compensation alone will not solve the problem. Managers should also conduct monthly check-ins with employees in critical departments to identify avoidable causes of resignation early.

3.3 Create a formal onboarding and training system

Ambazador should establish a standardised onboarding process for every new employee and create an internal training programme that could be branded as the "Ambazador Service Academy." Each new hire should follow a structured 30-60-90 day integration journey including orientation, service standards, role-specific training, job shadowing and follow-up meetings. Supervisors should be trained to coach new employees rather than leaving them to learn informally.

Beyond onboarding, the training system should include modules on customer service, complaint handling, housekeeping quality, front office excellence, intercultural teamwork, and leadership for managers. This recommendation directly addresses inconsistent service, weak integration of new hires and overdependence on informal learning. Because the owners are willing to fund training costs, this is one of the most practical and high-impact turnaround measures available.

3.4 Introduce career pathways and performance management

To reduce demotivation and retain stronger employees, Ambazador should introduce clear career pathways for key hotel functions and a simple but structured performance management system. Employees should know what skills and performance levels are required to progress from entry-level

positions to senior operational or supervisory roles. Internal vacancies should be posted transparently across the group, and managers should identify high-potential staff through annual talent reviews.

Performance management should focus on feedback and development rather than bureaucracy. Quarterly performance conversations, simple service-related objectives and recognition for strong performers would make expectations clearer and help rebuild fairness. This recommendation addresses low motivation, limited progression and the absence of a policy for talented employees.

3.5 Build an inclusion programme for foreign employees

Ambazador should create a dedicated integration and inclusion programme for international employees. This should include multilingual onboarding materials, a buddy system, basic language support where necessary, intercultural awareness sessions for teams, and manager training on inclusive leadership. New foreign recruits should also receive an early support check-in during their first month to detect isolation or misunderstanding before resignation occurs.

This measure is essential because the business already relies on foreign staff, yet currently loses many of them because they feel excluded. The objective should not only be to recruit internationally, but to convert international recruitment into long-term retention.

3.6 Rebuild the employer brand from the inside out

Ambazador must also rebuild its employer reputation, but this should be based first on real internal improvement, not only communication. The company should define a clear employee value proposition centred on training, career development, fair recognition and premium service culture. Once the internal changes are underway, Ambazador should strengthen its recruitment website, share employee testimonials, improve candidate communication and build partnerships with hospitality schools in France, Germany and the UK.

This recommendation addresses recruitment difficulties and prepares the business for future expansion. A stronger employer brand will only be credible if it reflects genuine improvement in working conditions and management quality.

IV. Implementation Timeline and Budget

The turnaround should be delivered in four phases over a year, with accountability resting jointly with the new Group HR Director and hotel managers.

Phase 1: Stabilise

Appoint a new Group HR Director (all subsequent actions depend on this); diagnose turnover by hotel and department, launch employee listening sessions, approve targeted pay corrections in critical roles, and

design the hybrid HR model. Success means having a clear picture of the problem and a funded retention plan approved.

Phase 2: Build foundations

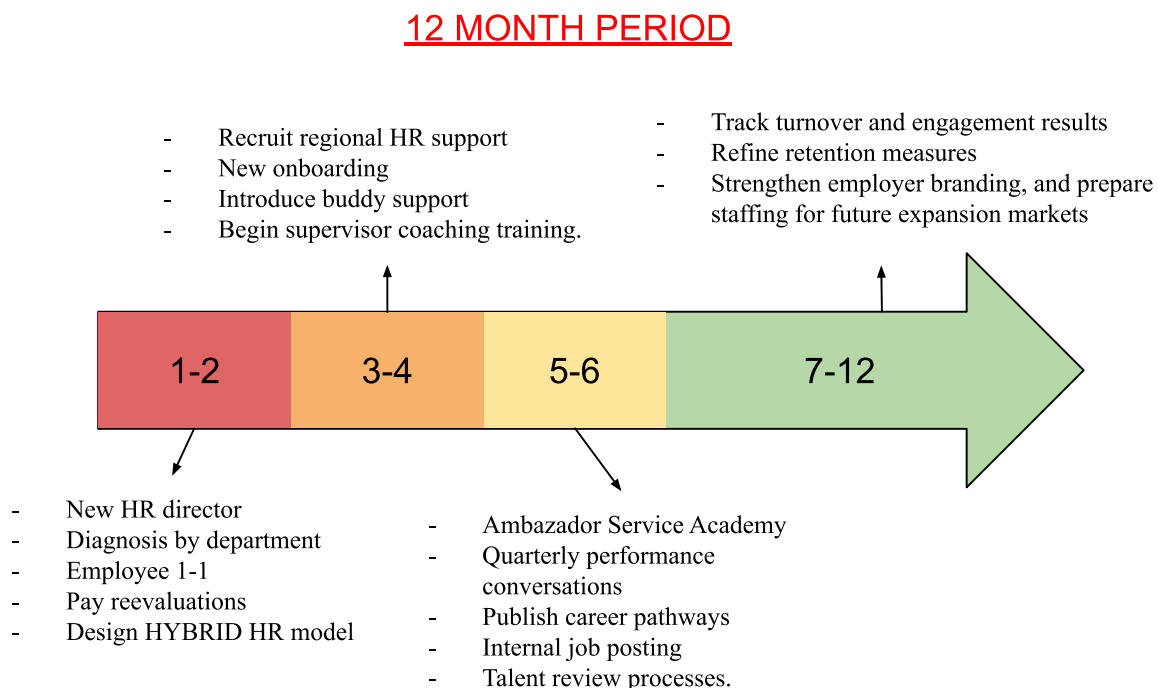
Recruit local HR support, implement the standardised onboarding process, introduce a buddy system for new and foreign employees, and begin supervisor coaching training.

Phase 3: Professionalise

Launch the Ambazador Service Academy, roll out quarterly performance conversations, publish career pathways, and introduce internal job posting and talent review processes.

Phase 4: Consolidate and prepare for expansion

Review turnover and engagement results against targets, refine retention measures, intensify employer branding, and prepare HR governance for expansion markets. Expansion should only proceed if key metrics show meaningful improvement, to avoid reproducing current problems in new locations.

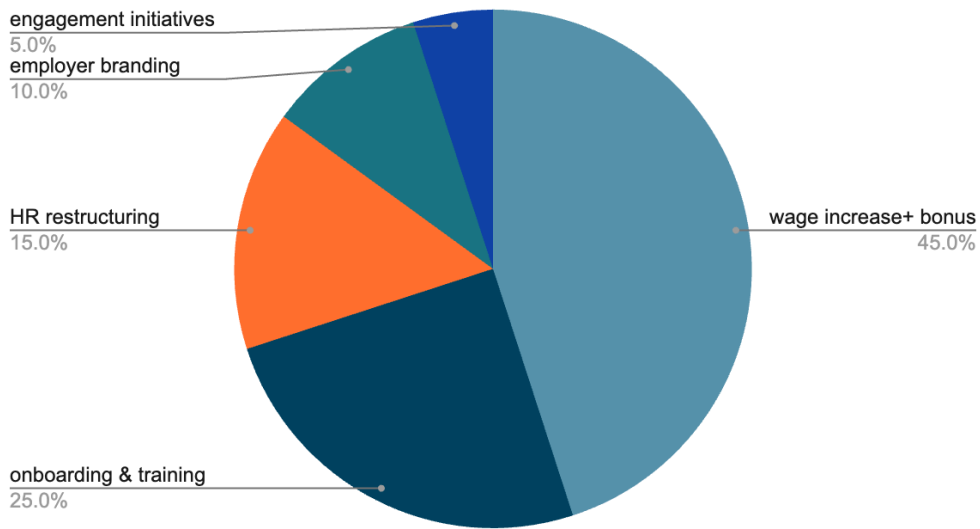


Realistic budget allocation:

Wage increases & retention bonuses	45%	Highest priority given to turnover severity in critical roles; targets housekeeping and front office specifically
Onboarding, training & Service Academy	25%	High-impact, directly addresses service inconsistency; owners have confirmed willingness to fund
HR restructuring & local HR recruitment	15%	Essential to make all other measures operational; without local HR capacity, implementation will stall
Employer branding & school partnerships	10%	Necessary for expansion readiness; delayed to Phase 4 when internal improvements are credible
Inclusion & engagement initiatives	5%	Lower cost but high symbolic value; buddy systems and intercultural training require modest investment

This allocation reflects the case constraints: wage increases are possible up to 10% of payroll, training costs can be funded, and additional expenditure is acceptable if justified. The largest share should therefore go to retention and workforce stability, while still funding the systems needed for longer-term improvement.

Budget allocation



Progress should be tracked through the following indicators (SMART objectives), reviewed by the Group HR Director and reported to the new owners to judge whether the turnaround is delivering both HR and business results.

KPI	Current situation	Target	Timeline
Turnover rate – housekeeping & front office	High	< 25%	Month 12
90-day retention of new hires	Unknown - assumed low	> 80%	Month 6 onwards
Training completion rate	n/a	100% of staff complete the onboarding module	Month 6
Employee engagement score (internal survey)	n/a	Establish a baseline in phase 1 and aim for a 15-point increase by month 12	Month 12
Internal promotion rate	n/a	50% of supervisory vacancies filled internally	Month 12
Guest satisfaction score	Declining	Return to prior benchmark levels	Month 12

V. Conclusion

Ambazador's HR crisis is serious but reversible. The six weaknesses identified (overcentralised structure, high turnover, absent training, limited career development, poor foreign staff integration, and a damaged employer brand) are interconnected and mutually reinforcing, which is why isolated fixes will not be sufficient. Only a coordinated, phased turnaround can break the cycle.

The recommendations in this report address each weakness directly and in a realistic sequence. By rebuilding its HR foundations over 12 months, Ambazador can reduce turnover, restore service consistency, re-engage its workforce, and credibly attract new talent. More importantly, it can enter Belgium, the Netherlands and Switzerland from a position with a solid HR structure. The turnaround proposed here is not a support function for Ambazador's growth strategy but a precondition for it.